

for quality and reliability in a product (a) that the customer recognizes is very important for the proper conduct of his activities, (b) where an inferior or malfunctioning product would cause serious problems, (c) where no competitor is serving more than a minor segment of the market so that the dominant company is nearly synonymous in the public mind with the source of supply, and yet (d) the cost of the product is only a quite small part of the customer's total cost of operations. Consequently, moderate price reductions yield only very small savings in relation to the risk of taking a chance on an unknown supplier. However, even this is not enough to ensure that a company fortunate enough to get itself in this position will be able to enjoy above-average profit margins year after year. Second, it must have a product sold to many small customers rather than a few large ones. These customers must be sufficiently specialized in their nature that it would be unlikely for a potential competitor to feel they could be reached through advertising media such as magazines or television. They constitute a market in which, as long as the dominant company maintains the quality of its product and the adequacy of its service, it can be displaced only by informed salesmen making individual calls. Yet the size of each customer's orders make such a selling effort totally uneconomical! A company possessing all these advantages can, through marketing, maintain an above-average profit margin almost indefinitely unless a major shift in technology (or, as already mentioned, a slippage in its own efficiency) should displace it. Companies of this type can most often be found in the moderately high technology supply area. One of their characteristics is to maintain their image of leadership by holding frequent technical seminars on the use of their product, a marketing tool that proves highly effective once a company attains this type of position.

It should be noted that the “above-average” profit margin or “greater than normal” return on investment need not be—in fact, should not be—many times that earned by industry in general to give a company's shares great investment appeal. Actually, if the profit or return on investment is too spectacular, it can be a source of danger, as the inducement then becomes almost irresistible for all sorts of companies to try to compete so as to get a share of the unusual honey pot. In contrast, a profit margin consistently just 2 or 3 percent of sales greater than that of the next best competitor is sufficient to ensure a quite outstanding investment.